2021–22: V-Shaped Recovery

India's GDP contracted by 7.3 per cent in 2020–21; with negative growth of 24.4 per cent in the first quarter of 2020–21 and 7.3 per cent in the second quarter. India's GDP grew by 0.4 per cent in the third quarter and 1.6 per cent in the fourth quarter of 2020–21.

For 2021–22, India's GDP was expected to exhibit two major trends. First, the momentum of positive growth, albeit still small, witnessed in the third and fourth quarters of 2020–21 was expected to be carried on in 2021–22. Second, given the low base of 24 per cent negative growth in the first quarter of 2020–21 and return to normality in the working of the economy in the third and fourth quarters, it was expected that there would be blockbuster growth of about 25–30 per cent in the first quarter of 2021–22 and about 8–10 per cent in the second quarter.

Budget 2021–22 was made with projected growth of 11 per cent. Most institutions and analysts expected India to grow by 10–12 per cent. Economists love to describe economic growth and contractions in different shapes of the alphabet. A V-shaped recovery signifies growth contracting sharply and then recovering equally sharply, which excites many government officials for having achieved something quite commendable. A contraction of 7.3 per cent in 2020–21 followed by growth of 10–12 per cent in 2021–22 fits this characterization. That said, it should make for a sobering thought as it is quite akin to jumping out of a pit after you've fallen into one. There is really nothing to rejoice about such a V-shaped recovery.

The fierce second wave of COVID-19, caused more by a variant first seen in India (later officially termed Delta), however, upset most projections. The Government of India sensibly did not go for a nationwide lockdown this time and left it to be decided by the states. Many states did go for extensive lockdown for six to eight weeks in major cities, but applied it more judiciously. The second wave caused much deeper misery with daily